



Engineering

2101 O'NEIL AVENUE Room 206, Cheyenne, WY 82001

(Phone) 307-637-6268 (Fax) 307-637-6256

MEMORANDUM

TO: Mayor Orr
City Council
FROM: Sam Berta, Construction Engineer
DATE: January 17, 2019

SUBJECT: PROFESSIONAL SERVICES AGREEMENT WITH HIGH WEST ENERGY FOR SERVICES TO REMOVE AND RELOCATE AN OVERHEAD POWER LINE.

For your consideration, we offer a Professional Services Agreement with High West Energy for the removal and relocation of an overhead power line as part of the Christensen Railroad Overpass project. The power line currently lies directly in the alignment of the new Christensen road between Pershing Blvd and US 30. High West will be working with the City of Cheyenne to remove the existing power line and all infrastructure associated with it. Following the project, High West Energy will reinstall a new underground line. The work should result in no disturbance to any of High West energy customers. It should be noted that this is a sole source contract due to the fact that High West is the owner of this line.

Funding for the Constructability Review and Analysis is coming from the previous optional Specific Purpose Tax (6th Penny).

In summary Staff recommends approval of the professional services agreement between the City of Cheyenne and High West Energy in the amount of \$432,000.00

City Contract # _____

PROFESSIONAL SERVICES AGREEMENT
for Removal of High West Energy Power Lines along Christensen Road

PREAMBLE

THIS AGREEMENT is made and entered into this _____ day of _____, 2019, by and between the City of Cheyenne, located at 2101 O'Neil Avenue, Cheyenne, Wyoming 82001 ("City"), and High West Energy, Inc., located at 6270 County Road 212, Pine Bluffs, Wyoming 82082 ("Contractor").

AGREEMENT

In consideration of the mutual covenants and obligations herein expressed, it is agreed by and between the parties as follows:

1. SCOPE OF WORK

The Contractor agrees to provide services as described for the above-mentioned project, in accordance with the Scope of Work attached hereto as Exhibits A and B, incorporated by reference and expressly made a part hereof.

2. TIME OF PERFORMANCE

The work included in this Scope of Work shall be completed by October 31, 2020.

3. CONTRACTOR RESPONSIBILITY

In providing services under this Agreement, the Contractor shall perform in a manner consistent with that degree of care and skill ordinarily exercised by members of the same profession currently practicing under similar circumstances at the same time and in the same or similar locality. Upon notice to the Contractor and by mutual agreement between the parties, the Contractor will, without additional compensation, correct those services not meeting such a standard.

4. COMPLIANCE WITH LAWS

The Parties agree that they will perform their obligations as provided in this Agreement in accordance with all applicable laws and ordinances.

5. DRUG-FREE WORKPLACE

In compliance with the Drug Free Work Place Act of November 1988, the City of Cheyenne has established an Alcohol and Controlled Substance Policy that pertains to alcohol and drug usage by City Employees. All architects, engineers and other contractors under contract with City of Cheyenne, and their employees and sub-contractors, are required to comply with the provisions of the City's Alcohol and Controlled Substance

Policy for drug and/or alcohol usage on City property or other sites occupied by the Contractor while performing the duties and responsibilities of the Agreement. It is the responsibility of the Contractor to familiarize themselves with the requirements of this policy and to inform all their employees and sub-contractors of the requirements and ensure their compliance. If the Contractor, their employees or sub-contractors are found in violation of this policy, the Agreement may be terminated.

6. INDEMNIFICATION/HOLD HARMLESS

The Contractor agrees to indemnify, hold harmless and defend the City from and against any and all liabilities, claims, penalties, forfeitures and suits, and the cost and expenses incident thereto, including reasonable attorney's fees, which may hereafter arise as a result of death or bodily injury to any person, destruction or damage to any property, contamination of or adverse effects on the environment, or any violation of governmental laws, regulations or orders to the extent caused by (1) the Contractor's breach of any term or provision of this Agreement; or (2) any negligent or wrongful act, error or omission by the Contractor, or its employees or sub-Contractors in the performance of this Agreement. The Contractor acknowledges that it may incur a financial obligation to the City pursuant to the terms of this paragraph.

7. INSURANCE REQUIREMENTS

The Contractor must provide proof of the following insurance coverages:

Commercial General Liability Insurance

For claims arising out of bodily injury, illness or death, or from damage to or destruction of property of others, including loss or use thereof, with minimum limits of \$1,000,000 per occurrence, \$2,000,000 aggregate for the entire term of the Agreement.

Workers' Compensation

Workers' compensation coverage shall be in effect for the entire term of the Agreement, as required by Wyoming law, for all employees or agents providing services under this Agreement. Contractor shall provide the City with proof of workers' compensation or employer's liability insurance coverage.

Professional Liability Insurance

The Contractor shall provide proof of professional liability insurance or errors and omissions liability insurance in an amount not less than \$500,000 to protect the City from any and all claims arising from the Contractor's negligence in the performance of duties under this Agreement. The City prefers that this liability insurance coverage be provided pursuant to an "occurrence" policy.

If this coverage is provided pursuant to a "claims made" policy:

- a. Contractor shall, concurrently with the execution of this Agreement, provide the City with a certificate of insurance demonstrating that such coverage is or shall be in effect at the time the Contractor begins the provision of services under this Agreement; and
- b. In the event the Contractor's services extend into a future policy period, the

Contractor shall, prior to the policy expiration date, provide the City with a new certificate of insurance demonstrating that such coverage is or shall be in effect during all periods of time that Contractor will provide services under this Agreement; and

- c. Contractor shall maintain said "claims made" coverage for a period of five (5) years following the last date that Contractor has provided services under this Agreement; and
- d. In the event the Contractor or the insurer terminates "claims made" coverage prior to the expiration of the periods provided in subparagraphs a., b., or c. of this paragraph, the Contractor shall provide to the City advance written notification of the termination of said coverage and shall provide the City with an endorsement for an extended reporting period ("tail coverage") which shall be in effect for a period of time not less than five (5) years following the last date that Contractor has provided services under this Agreement.

Additional Insurance Information

The Contractor shall name the City of Cheyenne as **an Additional Insured** by endorsement on its insurance policies, and shall provide the City with a copy of the endorsements. This requirement does not apply to workers' compensation and professional liability insurance policies.

Contractor shall provide the City with certificates of insurance acknowledging the above-stated coverages prior to beginning any work under this Agreement.

It is understood and agreed that these policies are primary and not contributory. All policies required under this Agreement shall be in effect for the duration of the Agreement. It shall be an affirmative obligation upon Contractor to immediately notify in writing the city risk manager, city clerk, and city attorney of any fact, circumstance, or occurrence that has resulted in or may result in the cancellation of, or substantive change to any insurance coverage required by this Agreement, and failure to do so shall be construed to be a breach of this Agreement.

If requested by the City, the Contractor shall provide the City with copies of insurance policies and/or policy endorsements listing the City of Cheyenne as an additional insured. The City's failure to request or review such policies, endorsements, or certificates shall not affect the City's rights or Contractor's obligation hereunder.

Any insurance company providing coverage under this Agreement shall have a minimum A. M. Best rating of A- (excellent).

- 8. MINORITY AND DISADVANTAGED BUSINESS ENTERPRISES 49 C.F.R. Part 26
All parties to this Agreement assure that no person will be excluded from participation in, denied the benefits of, or otherwise discriminated against, in connection with the award and performance of this Agreement on the grounds of age, race, color, disability, national origin or sex.
- 9. COMPENSATION & SCHEDULE FOR PAYMENT
In consideration of the services to be performed pursuant to this Agreement, the Contractor will bill the City and the City agrees to pay Contractor a not to exceed amount of Four Hundred Thirty-Two Thousand Dollars (\$432,000) pursuant to the Schedule for Payment

set forth in Exhibit A.

10. MONTHLY REPORT

With every monthly billing, Contractor shall provide the City Representative with a written statement of the status of the work with respect to the Scope of Work, time sheets, and work schedule. Failure to provide the required monthly report will delay processing of any payment request until the report is submitted.

11. INDEPENDENT CONTRACTOR

The Contractor shall function as an independent contractor for the purposes of this Agreement. The Contractor shall assume sole responsibility for any debts or liabilities that may be incurred by the Contractor in fulfilling the terms of this Agreement. Nothing in this Agreement shall be interpreted as authorizing the Contractor or its agents or employees to act as an agent or representative of or on behalf of the City or to incur any obligation of any kind on the behalf of the City.

12. TAXES

The Contractor agrees to pay all valid taxes, excises, license fees, permit fees, bills, debts and obligations incurred by and in connection with its operations under this Agreement.

13. DEFAULT

Each and every term and condition in this Agreement shall be deemed to be a material element of the Agreement. In the event either party should fail or refuse to perform according to the terms of this Agreement, such party may be declared in default.

14. REMEDIES

In the event a party has been declared in default, such defaulting party shall be allowed a period of fifteen (15) days within which to cure the default. In the event the default remains uncorrected, the non-defaulting party declaring default may elect to:

- a. Terminate the Agreement and seek damages, which damages shall not exceed the contract amount; or
- b. Treat the Agreement as continuing and require specific performance.

15. TERM AND TERMINATION

The term of this Agreement shall be as set forth in Paragraph 2. The parties may by mutual written agreement extend this Agreement.

16. ADDITIONAL REMEDIES

In the event the Contractor fails to strictly perform in accordance with this Agreement, the City may elect to correct the deficiencies and charge the Contractor. In the event of default of any of the conditions by either party which shall require the party not in default to commence legal or equitable action against the defaulting party each party shall bear its own costs and expenses, including without limitation, attorney's fees.

17. GOVERNING LAW, JURISDICTION AND VENUE

The construction, interpretation and enforcement of this Agreement shall be governed by the laws of the State of Wyoming. The courts of the State of Wyoming shall have jurisdiction over any action arising out of this Agreement and over the parties, and the venue shall be the First Judicial District, Laramie County, Wyoming.

18. GOVERNMENTAL IMMUNITY

The City of Cheyenne, along with its officials and employees, does not waive its governmental immunity by entering into this Agreement, except to the extent necessary for the parties to pursue a contract action to clarify or enforce the written terms of the Agreement. Furthermore, the City specifically retain all immunities and defenses available to it as a sovereign or governmental entity pursuant to Wyo. Stat. § 1-39-101, *et seq.*, and all other relevant state and federal law. Designations of venue, choice of law, enforcement actions, and similar provisions should not be constructed as a waiver of governmental immunity. The parties agree that any ambiguity in this Agreement shall not be strictly construed, either against or for either party, except that any ambiguity as to governmental or sovereign immunity shall be construed in favor of governmental immunity.

19. MONITORING ACTIVITIES

The City shall have the right to monitor all activities related to this Agreement that are performed by the Contractor or its sub-contractors. This shall include, but not be limited to, the right to make site inspections at any time and with reasonable notice; to bring experts and contractors on site to examine or evaluate completed work or work in progress; to examine the books, ledgers, documents, papers, and records pertinent to this Agreement; and to observe personnel in every phase of performance of the related work.

20. NON-DISCRIMINATION

The Contractor shall comply with the Civil Rights Act of 1964, the Wyoming Fair Employment Practices Act (Wyo. Stat. § 27-9-105, *et seq.*), the Americans With Disabilities Act (ADA), as amended, 42 U.S.C. § 12101, *et seq.*, and the Age Discrimination Act of 1975 and any properly promulgated rules and regulations thereto, and shall not discriminate against any individual on the grounds of age, sex, creed, color, race, religion, national origin, ancestry, pregnancy or qualifying disability in connection with the performance under this Agreement.

21. ENTIRETY OF AGREEMENT

This Agreement consisting of 6 pages, and Exhibit A consisting of 1 page, and Exhibit B consisting of 1 page contains the entire understanding of the parties. There are no other terms or conditions, written or oral, concerning or controlling this matter.

[SIGNATURE PAGE FOLLOWS]

IN WITNESS WHEREOF, the parties have hereunto set their hands and seals effective the day and year first above written.

City of Cheyenne

(SEAL)

Attest:

Kristina F. Jones, City Clerk

By: _____
Marian J. Orr, Mayor

Contractor

By: _____

Print Name: _____

Title: _____

EXHIBIT A
Scope of Work &
Schedule for Payment

HIGH WEST ENERGY
WORK REQUEST FORM

Description of Work:

Construction of new and temporary underground and overhead tie lines. De-energize, dismantling, moving, hauling and cleanup of de-energized overhead electric power distribution lines and construction of new overhead and direct bury electric power distribution lines at the completion of the Christensen Road construction excavation. De-energize, dismantle, moving, hauling and cleanup of de-energized tie line.

Location:

Please see attached Exhibit B for location of the work to be completed as explained above.

Estimated Cost: \$360,000.

We, the City of Cheyenne, have requested that the above described work be completed. We agree to pay for the cost of completing this work. The above estimate shall be paid in advance. The actual cost shall be determined later, and we understand that we will be billed for any additional cost or refunded any excess already paid. The maximum total payment shall not exceed \$432,000.

Signed: _____

Date: _____

Once determined the bill or refund is to be sent to:

NAME: City of Cheyenne
STREET: 2101 O'Neil Avenue
CITY: Cheyenne
STATE/ZIP: WY 82001

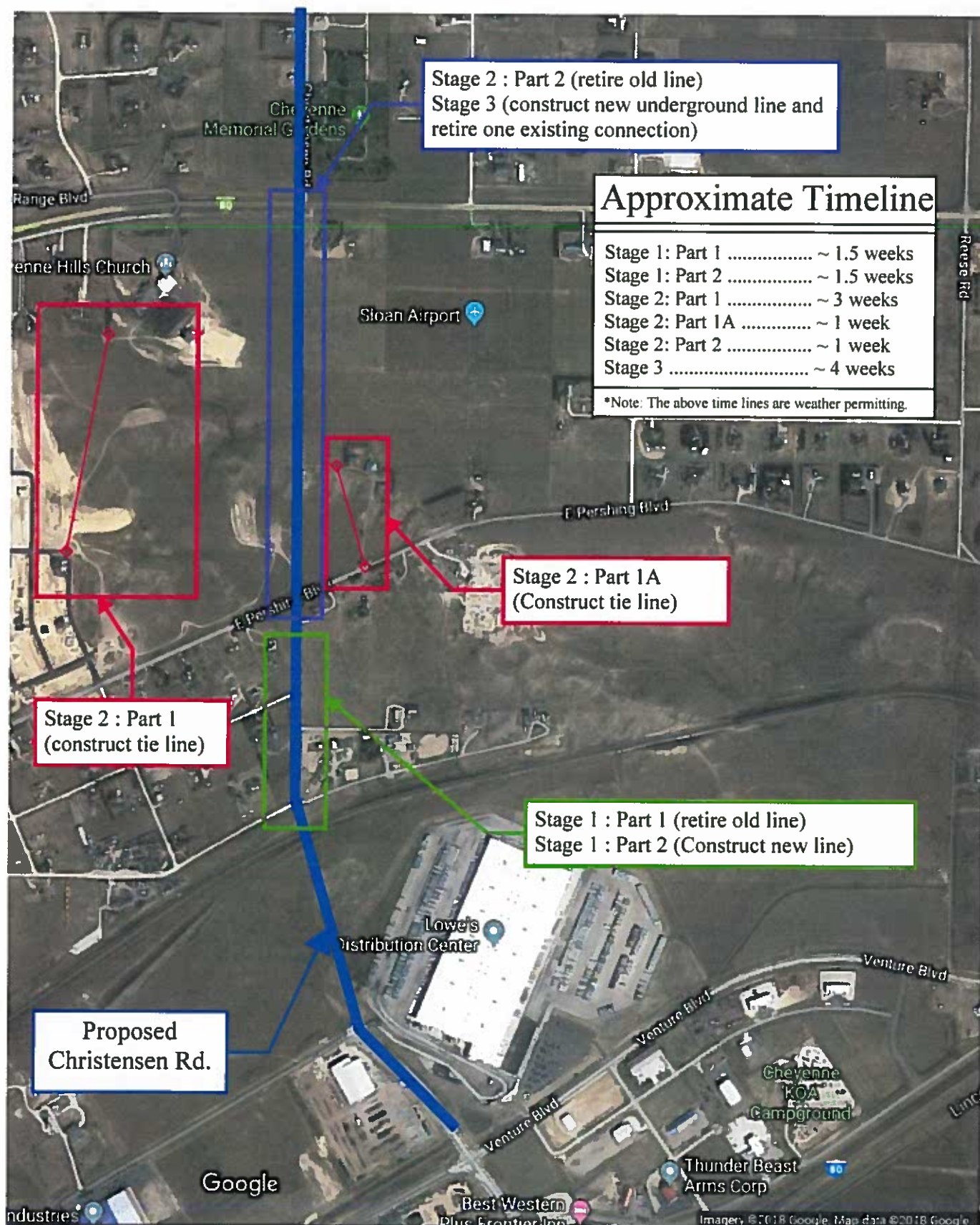


EXHIBIT B
Phases for High West Energy Work